

UCHUMI SUPERMARKETS LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2003

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The directors submit their report together with the audited financial statements for the year ended 30 June 2003 which disclose the state of affairs of the company.

INCORPORATION AND REGISTERED OFFICE

The company is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is:

Uchumi Supermarkets Limited
Supermarket Building
Aga Khan Walk
P O Box 73167
NAIROBI.

PRINCIPAL ACTIVITIES

The principal activity of the group is that of operating retail supermarkets.

RESULTS AND DIVIDEND

The net loss for the year of Shs 196,569,000 has been reduced from retained earnings. The directors do not recommend the payment of a dividend.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

DIRECTORS

The directors who held office during the year and to the date of this report were:

ICDC Investments Limited	(Chairman)
Kennedy Thairu	(Managing Director)
Industrial and Commercial Development Corporation	
Kenya Wine Agencies Holdings (E.A.) Limited	
Dr Eddah Wacheke Gachukia	
Nigel Ralph Pavitt	
Permanent Secretary – Ministry of Trade and Industry	
Dr Ernest Muinde Kioko	
Isaac O Awoundo	
K K Bett	

Uchumi Supermarkets Limited
Statement of directors' responsibilities
For the year ended 30 June 2003

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and of the group as at the end of the financial year and of the profit or loss of the group. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of the group and of the profit or loss of the group. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least twelve months from the date of this statement.

Director

Director

18 September 2003

REPORT OF THE AUDITORS TO THE MEMBERS OF UCHUMI SUPERMARKETS LIMITED

We have audited the financial statements set out on pages 5 to 26. The company's balance sheet is in agreement with the books of account.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as set out on page 3. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary to provide a reasonable basis for our opinion.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the company as at 30 June 2003 and of the group's loss and cash flows for the year then ended and comply with International Financial Reporting Standards and the Kenyan Companies Act.

Certified Public Accountants
Nairobi

18 September 2003

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Consolidated profit and loss account

		Notes	2003 Shs'000	2002 Shs'000
Sales	1		8,900,858	7,936,755
Cost of sales			(7,452,417)	(6,563,144)
Gross profit			1,448,441	1,373,611
Other operating income	2		162,630	92,151
Operating costs	3		(1,778,936)	(1,382,553)
Operating (loss) / profit	4		(167,865)	83,209
Finance costs	6		(78,167)	(3,003)
(Loss) / profit before tax			(246,032)	80,206
Tax credit / (charge)	7		49,463	(30,542)
Net (loss) / profit			(196,569)	49,664
			Shs	Shs
(Loss) / earnings per share (basic and diluted)	8		(3.28)	0.83
			Shs'000	Shs'000
Dividends:				
Proposed final dividend for the year	9		-	30,000
			-	30,000

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Consolidated balance sheet

	Notes	2003 Shs'000	2002 Shs'000
CAPITAL EMPLOYED			
Share capital	10	300,000	300,000
Share premium	10	129,452	129,452
Revaluation reserve	12	101,946	105,566
Translation reserves		841	-
Retained earnings		169,602	362,551
Proposed dividends		-	30,000
Shareholders' funds		701,841	927,569
Non-current liabilities			
Deferred tax	11	-	4,910
		701,841	932,479
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	13	1,370,537	1,146,647
Prepaid operating rentals	14	230,267	209,860
Deferred tax	11	44,553	-
Intangible assets	18	210,742	18,390
Non-current receivables	17	5,995	5,672
		1,862,094	1,380,569
Current assets			
Inventories	19	1,264,141	853,833
Receivables and prepayments	20	172,415	141,564
Tax recoverable		37,490	55,868
Cash and bank balances	21	100,621	108,131
		1,574,667	1,159,396
Current liabilities			
Payables and accrued expenses	22	1,805,027	1,270,810
Borrowings	23	929,893	336,676
		2,734,920	1,607,486
Net current liabilities		(1,160,253)	(448,090)
		701,841	932,479

The financial statements on pages 5 to 26 were approved for issue by the board of directors on 18 September 2003 and signed on its behalf by:

Director

Director

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Company balance sheet

	Notes	2003 Shs'000	2002 Shs'000
CAPITAL EMPLOYED			
Share capital	10	300,000	300,000
Share premium	10	129,452	129,452
Revaluation reserve	12	101,946	105,566
Retained earnings		260,738	362,551
Proposed dividends		-	30,000
Shareholders' funds		792,136	927,569
Non-current liabilities			
Deferred tax	11	-	4,910
		792,136	932,479
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	13	1,275,327	1,146,647
Prepaid operating rentals	14	120,244	99,837
Investment in subsidiary companies	15	60,200	200
Loan to subsidiary company	16	110,511	109,823
Deferred tax	11	44,553	-
Intangible assets	18	203,075	18,390
Non-current receivables	17	80,995	5,672
		1,894,905	1,380,569
Current assets			
Inventories	19	1,071,631	853,833
Receivables and prepayments	20	241,177	141,564
Tax recoverable		30,882	55,868
Cash and bank balances	21	98,236	108,131
		1,441,926	1,159,396
Current liabilities			
Payables and accrued expenses	22	1,696,646	1,270,810
Borrowings	23	848,049	336,676
		2,544,695	1,607,486
Net current liabilities		(1,102,769)	(448,090)
		792,136	932,479

The financial statements on pages 5 to 26 were approved for issue by the board of directors on 18 September 2003 and signed on its behalf by:

 Director

 Director

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Group and company statement of changes in equity

	Notes	Share Capital Shs'000	Share Premium Shs'000	Revaluation Reserve Shs'000	Retained Earnings Shs'000	Proposed Dividends Shs'000	Total Shs'000
Year ended 30 June 2002							
At start of year		300,000	129,452	108,452	340,001	60,000	937,905
Transfer of excess depreciation to retained earnings	11	-	-	(4,122)	4,122	-	-
Deferred tax on transfer		-	-	1,236	(1,236)	-	-
Net gains not recognised in income statement		-	-	(2,886)	2,886	-	-
Net profit		-	-	-	49,664	-	49,664
Dividends:							
- Final for 2001 (paid)		-	-	-	-	(60,000)	(60,000)
- Final for 2002 (proposed)		-	-	-	(30,000)	30,000	-
At end of year		300,000	129,452	105,566	362,551	30,000	927,569

Group statement of changes in equity

	Notes	Share Capital Shs'000	Share Premium Shs'000	Revaluation Reserve Shs'000	Translation Reserve Shs'000	Retained Earnings Shs'000	Proposed Dividends Shs'000	Total Shs'000
Year ended 30 June 2003								
At start of year		300,000	129,452	105,566	-	362,551	30,000	927,569
Transfer of excess depreciation to retained earnings	11	-	-	(5,171)	-	5,171	-	-
Deferred tax on transfer		-	-	1,551	-	(1,551)	-	-
Translation gain		-	-	-	841	-	-	841
Net gains not recognised in income statement		-	-	(3,620)	841	3,620	-	841
Net loss		-	-	-	-	(196,569)	-	(196,569)
Dividends:								
- Final for 2002 (paid)		-	-	-	-	-	(30,000)	(30,000)
At end of year		300,000	129,452	101,946	841	169,602	-	701,841

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Company statement of changes in equity

	Notes	Share Capital Shs'000	Share Premium Shs'000	Revaluation Reserve Shs'000	Retained Earnings Shs'000	Proposed Dividends Shs'000	Total Shs'000
Year ended 30 June 2003							
At start of year		300,000	129,452	105,566	362,551	30,000	927,569
Transfer of excess depreciation to retained earnings		-	-	(5,171)	5,171	-	-
Deferred tax on transfer	11	-	-	1,551	(1,551)	-	-
Net gains not recognised in income statement		-	-	(3,620)	3,620	-	-
Net loss		-	-	-	(105,433)	-	(105,433)
Dividends:							
- Final for 2002 (paid)		-	-	-	-	(30,000)	(30,000)
At end of year		300,000	129,452	101,946	260,738	-	792,136

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Consolidated cash flow statement

	Notes	2003 Shs'000	2002 Shs'000
Operating activities			
Cash generated from operations	26	108,153	226,597
Interest received	6	-	8,542
Interest paid	6	(40,751)	(11,545)
Tax paid		(26,293)	(1,420)
Net cash from operating activities		41,109	222,174
Investing activities			
Purchase of property, plant and equipment	13	(387,832)	(516,403)
Purchase of leasehold property	14	(33,895)	-
Purchase of intangible assets	18	(216,298)	-
Proceeds from disposal of property, plant and equipment		-	255
Proceeds from disposal of leasehold property		19,407	-
Net cash used in investing activities		(618,618)	(516,148)
Financing activities			
Dividends paid		(30,000)	(60,000)
Net cash used in financing activities		(30,000)	(60,000)
Decrease in cash and cash equivalents		(607,509)	(353,974)
Movement in cash and cash equivalents			
At start of year		(228,545)	125,429
Decrease		(607,509)	(353,974)
Effect of exchange rate movements on cash and cash equivalents		6,782	-
At end of year	21	(829,272)	(228,545)

Accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below:

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in Kenya Shillings (Shs) and prepared under the historical cost convention as modified by the revaluation of freehold land and all buildings.

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) Revenue recognition

Sales are recognised upon delivery of products to customers and performance of services, and are stated net of VAT and discounts.

Interest income is recognised as it accrues, unless collectibility is in doubt.

(c) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

(d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Freehold land and all buildings are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on leasehold land	Over the lease period
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Accounting policies (continued)

(d) Property, plant and equipment (continued)

Freehold land is not depreciated as it is deemed to have an indefinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in revaluation reserve relating to that asset are transferred to retained earnings.

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

(e) Intangible assets

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with identifiable and unique software products controlled by the group and will generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. These assets are amortised using the straight-line method over a period of four years.

Pre-operating costs incurred prior to a subsidiary commencing trading are amortised from the date of commencement of trading, using the straight-line method, over a period of three years.

(f) Accounting for leases

Leases of property, plant and equipment where the company assumes substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of fair value of the leased property and the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(g) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in, first-out (FIFO) method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

(h) Trade receivables

Trade receivables are carried at amortised invoice amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off in the year in which they are identified.

(i) Employee entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

Accounting policies (continued)

(j) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(k) Retirement benefit obligations

The company operates a defined contribution retirement benefit scheme for all its employees. The scheme is administered by an insurance company and is funded from contributions from both the company and employees.

The company's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

(l) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(m) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the Directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

(n) Consolidation

Subsidiary undertakings, which are those companies in which the Group, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposals or cessation of effective control.

The income statements of subsidiaries are translated at average exchange rates for the year and balance sheets at the year end rates. The resulting differences from translation are dealt with in reserves.

Details of the Group's subsidiaries are set out on Note 15.

(o) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Notes forming part of the financial statements

1 Segment information	Kenya Shs'000	2003 Regional Shs'000	Group Shs'000	2002 Group Shs'000
Gross sales	9,695,622	295,578	9,991,200	8,765,681
Less: Value added tax	(1,053,456)	(36,886)	(1,090,342)	(828,926)
Net sales	8,642,166	258,692	8,900,858	7,936,755
Operating (loss) / profit	(116,424)	(51,441)	(167,865)	83,209
Segment assets	3,101,740	335,021	3,436,761	2,539,965
Segment liabilities	2,544,695	190,225	2,734,920	1,612,396

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash, and mainly exclude investments and amounts due from subsidiaries. Segment liabilities comprise operating liabilities and exclude items such as dividend payable and amounts due to parent company.

Sales revenue is based on the country in which the sale took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

During the year 30 June 2002 the group operated in one geographical segment, Kenya.

2 Other operating income	2003 Shs'000	2002 Shs'000
Promotions income	155,281	91,656
Profit on sale of property, plant and equipment	7,349	255
Miscellaneous income	-	240
	162,630	92,151
3 Operating costs	2003 Shs'000	2002 Shs'000
Branch operating expenses	1,116,019	874,936
Administrative expenses	562,235	426,996
Distribution costs	100,682	80,621
	1,778,936	1,382,553

Notes forming part of the financial statements (continued)

4 Operating (loss) / profit

	2003 Shs'000	2002 Shs'000
The following items have been charged / (credited) in arriving at operating (loss) / profit:		
Depreciation on property, plant and equipment (Note 13)	158,001	112,358
Amortisation of intangible assets (Note 18)	23,946	-
Repairs and maintenance of property, plant and equipment	19,903	13,539
Operating lease rentals	261,388	170,561
Trade receivables – impairment (credit) / charge for bad and doubtful debts	(294)	1,292
Staff costs (Note 5)	861,315	702,510
Auditors' remuneration	3,714	2,700

5 Staff costs

The following items are included within staff costs:

	2003 Shs'000	2002 Shs'000
Salaries and wages	784,928	634,229
Social security benefits	5,277	3,879
Retirement benefits costs:		
- Defined contribution scheme	19,210	15,886
Other staff costs	51,900	48,516
	861,315	702,510

The number of persons employed by the group at the year end was 2,301 (2001: 2,256).

6 Finance costs

	2003 Shs'000	2002 Shs'000
Interest income	-	8,542
Exchange loss	(37,416)	-
Interest expense	(40,751)	(11,545)
	(78,167)	(3,003)

7 Tax

	2003 Shs'000	2002 Shs'000
Current tax	-	23,722
Deferred tax (Note 11)	(39,231)	6,820
Overprovision in prior year	(10,232)	-
	(49,463)	6,820
	(49,463)	30,542

Notes forming part of the financial statements (continued)

7 Tax (continued)

The tax on the group's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2003 Shs'000	2002 Shs'000
(Loss) / profit before tax	(246,032)	80,206
Tax calculated at a tax rate of 30%	(73,810)	24,062
Tax effect of:		
Expenses not deductible for tax purposes	9,443	6,480
Income not subject to tax	(2,205)	-
Prior year overprovision	(10,232)	-
Deferred tax asset not recognised	(76,804) 27,341	30,542 -
Tax (credit) / charge	(49,463)	30,542

8 (Loss) / earnings per share

(Loss) / earnings per share is calculated by dividing the (loss) / profit after tax attributable to shareholders by the number of ordinary shares in issue during the year.

	2003 Shs'000	2002 Shs'000
(Loss) / profit attributable to shareholders (Shs'000)	(196,569)	49,664
Number of ordinary shares in issue (thousands)	60,000	60,000
Basic (loss) / earnings per share (Shs)	(3.28)	0.83

There were no potentially dilutive shares outstanding as at 30 June 2003 or 2002.

9 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting.

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

10 Share capital

	Number of shares (Thousands)	Ordinary share capital Shs'000	Share premium Shs'000
Balance at 1 July 2002 and 30 June 2003	60,000	300,000	129,452

The total authorised number of ordinary shares is 60,000,000 with a par value of Shs 5 per share. All issued shares are fully paid.

Notes forming part of the financial statements (continued)

11 Deferred tax (Group and company)

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	2003 Shs'000	2002 Shs'000
At start of year	4,910	35,860
Prior year adjustment: - credited to equity	-	(37,770)
As restated	4,910	(1,910)
Income statement (credit)/ charge (Note 7)	(49,463)	6,820
At end of year	(44,553)	4,910

Deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

	1.7.2002 Shs'000	Charged/ (credited) to P/L Shs'000	30.6.2003 Shs'000
Deferred tax liabilities			
Property, plant and equipment:			
- on historical cost basis	(1,769)	(2,243)	(4,012)
- on revaluation surpluses	23,053	(11,972)	11,081
Unrealised exchange gains	-	36	36
	21,284	(14,179)	7,105
Deferred tax assets			
Provisions	(16,374)	(3,600)	(19,974)
Tax losses	-	(59,025)	(59,025)
	(16,374)	(62,625)	(78,999)
Net liability / (asset)	4,910	(76,804)	(71,894)
Deferred tax asset not recognised	-	27,341	27,341
Deferred tax liability / (asset) recognised	4,910	(49,463)	(44,553)

Notes forming part of the financial statements (continued)

11 Deferred tax (continued)

Deferred tax of Shs 1,551,000 is transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.

Deferred tax asset of Shs 27,341,000 arising on tax losses for Uchumi Supermarkets (Uganda) Limited has not been recognised in accordance with the accounting policy on deferred tax.

12 Revaluation reserve (Group and company)

The reserves arise from the revaluation of land and buildings and are non-distributable.

13 Property, plant and equipment

	Freehold land and all buildings Shs'000	Improve- ments to premises Shs'000	Plant and machinery Shs'000	Vehicles and equipment Shs'000	Capital work-in- progress Shs'000	Total Shs'000
Group						
<u>Cost or valuation</u>						
At 1 July 2002	631,536	137,618	295,097	476,043	-	1,540,294
Additions	8,747	90,133	103,874	168,449	16,629	387,832
Exchange loss	-	(2,279)	(2,745)	(1,501)	-	(6,525)
At 30 June 2003	640,283	225,472	396,226	642,991	16,629	1,921,601
<u>Depreciation</u>						
At 1 July 2002	13,288	27,718	133,131	219,510	-	393,647
Charge for the year	11,606	18,107	53,914	74,374	-	158,001
Exchange gain	-	(133)	(320)	(131)	-	(584)
At 30 June 2003	24,894	45,692	186,725	293,753	-	551,064
<u>Net book amount</u>						
At 30 June 2003	615,389	179,780	209,501	349,238	16,629	1,370,537
At 30 June 2002	618,248	109,900	161,966	256,533	-	1,146,647

In the opinion of the directors, there is no impairment of property, plant and equipment.

Freehold land and all buildings were valued in February 2001, by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus, net of deferred tax, was credited to revaluation reserves.

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Notes forming part of the financial statements (continued)

13 Property, plant and equipment (continued)

Company	Freehold land and all buildings Shs'000	Improve- ments to premises Shs'000	Plant and machinery Shs'000	Vehicles and equipment Shs'000	Capital work-in- progress Shs'000	Total Shs'000
<u>Cost or valuation</u>						
At 1 July 2002	631,536	137,618	295,097	476,043	-	1,540,294
Additions	8,747	51,326	57,135	142,891	16,629	276,728
At 30 June 2003	640,283	188,944	352,232	618,934	16,629	1,817,022
<u>Depreciation</u>						
At 1 July 2002	13,288	27,718	133,131	219,510	-	393,647
Charge for the year	11,606	15,843	48,461	72,138	-	148,048
At 30 June 2003	24,894	43,561	181,592	291,648	-	541,695
<u>Net book amount</u>						
At 30 June 2003	615,389	145,383	170,640	327,286	16,629	1,275,327
At 30 June 2002	618,248	109,900	161,966	256,533	-	1,146,647

If all the freehold land, buildings and improvements were stated on the historical cost basis, the amounts would be as follows:

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Cost	751,057	652,177	712,250	652,177
Accumulated depreciation	(56,757)	(32,215)	(54,493)	(32,215)
Net book amount	694,300	619,962	657,757	619,962

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Notes forming part of the financial statements (continued)

13 Property, plant and equipment (continued)

Company	Freehold land and all buildings Shs'000	Improve- ments to premises Shs'000	Plant and machinery Shs'000	Vehicles and equipment Shs'000	Capital work-in- progress Shs'000	Total Shs'000
<u>Cost or valuation</u>						
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If all the freehold land, buildings and improvements were stated on the historical cost basis, the amounts would be as follows:

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Cost	751,057	652,177	712,250	652,177
Accumulated depreciation	(56,757)	(32,215)	(54,493)	(32,215)
Net book amount	694,300	619,962	657,757	619,962

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Notes forming part of the financial statements (continued)

14 Prepaid operating rentals

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Carrying amount of leasehold land at 1 July	209,860	211,097	99,837	101,074
Add:				
- additions for the year	33,895	-	33,895	-
Less:				
- amortisation for the year	(1,430)	(1,237)	(1,430)	(1,237)
- net book amount of disposal during the year	(12,058)	-	(12,058)	-
At 30 June	230,267	209,860	120,244	99,837

15 Investment in subsidiaries (Company)

	Country of incorporation	2003	2002
		Shs'000	Shs'000
Investment in Uchumi Supermarkets (Uganda) Limited	Uganda	60,000	-
Investment in Kasarani Mall Limited	Kenya	200	200
		60,200	200

Both Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited are wholly-owned by Uchumi Supermarkets Limited.

Uchumi Supermarkets (Uganda) Limited commenced trading in December 2002 and its results have been consolidated in the financial statements.

The other wholly owned subsidiaries; Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya respectively, have each issued only two shares of nominal amounts. These subsidiaries did not have any transactions during the year.

16 Loan to subsidiary (Company)

	2003	2002
	Shs'000	Shs'000
Loan to Kasarani Mall Limited	110,511	109,823

The loan to Kasarani Mall Limited was advanced for the purpose of acquiring land. The land is held for the group's future expansion.

Notes forming part of the financial statements (continued)

17 Non-current receivables

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Amounts due from subsidiary	-	-	75,000	-
Other non-current receivables	5,995	5,672	5,995	5,672
Net book amount	5,995	5,672	80,995	5,672

The current receivables relating to the above items are shown in Note 20.

18 Intangible assets

	Computerisation and software costs	Pre-operating costs	TOTAL
	Shs'000	Shs'000	Shs'000
<u>Group and company</u> Year ended 30 June 2002			
Costs recognised as an asset	18,390	-	18,390
Closing net book amount	18,390	-	18,390
<u>Group</u> Year ended 30 June 2003			
Opening net book amount	18,390	-	18,390
Cost recognised as an asset	205,757	10,541	216,298
Amortisation charge	(21,072)	(2,874)	(23,946)
Closing net book amount	203,075	7,667	210,742
<u>Company</u> Year ended 30 June 2003			
Opening net book amount	18,390	-	18,390
Cost recognised as an asset	205,757	-	205,757
Amortisation charge	(21,072)	-	(21,072)
Closing net book amount	203,075	-	203,075

Computerisation and software costs represent costs that are directly associated with the implementation of the new Enterprise Resource Planning system. Pre-operating costs relate to costs incurred prior to the Uganda subsidiary commencing trading.

Uchumi Supermarkets Limited
Financial Statements
For year ended 30 June 2003

Notes forming part of the financial statements (continued)

Group 2003 2002	Inventories	Group 2003 2002	Company 2003 2002	Group 2003 2002 Shs'000	Group 2002 2001 Shs'000	Company 2003 2002 Shs'000	Company 2002 2001 Shs'000
1616	Food	294,636	279,087	294,636	279,087	252,359	279,087
134	Non-food	871,184	548,699	871,184	548,699	721,476	548,699
179	Other	32,379	18,209	32,379	18,209	31,854	18,209
612	Goods in transit	65,942	7,838	65,942	7,838	65,942	7,838
				1,264,141	853,833	1,071,631	853,833

20 Receivables and prepayments

	Group 2003 Shs'000	Group 2002 Shs'000	Company 2003 Shs'000	Company 2002 Shs'000
Trade receivables	25,711	23,610	24,818	23,610
Less: Impairment charge for bad and doubtful debts	(15,217)	(15,510)	(15,217)	(15,510)
Trade receivables	10,494	8,100	9,601	8,100
Prepayments	52,096	41,968	52,096	41,968
Receivables from related companies (Note 27)	408	5,671	408	5,671
Other receivables	109,417	85,825	78,981	85,825
Amounts due from subsidiary	-	-	100,091	-
	172,415	141,564	241,177	141,564

Amounts due from subsidiary are recoverable from Uchumi Supermarkets (Uganda) Limited.

21 Cash and bank balances

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings in current liabilities. The year-end cash and cash equivalents comprise the following:

	Group 2003 Shs'000	Group 2002 Shs'000	Company 2003 Shs'000	Company 2002 Shs'000
Cash and bank balances	100,621	108,131	98,236	108,131
Bank borrowings (Note 23)	(929,893)	(336,676)	(848,049)	(336,676)
	(829,272)	(228,545)	(749,813)	(228,545)

Notes forming part of the financial statements (continued)

22 Payables and accrued expenses

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Trade payables	1,502,989	1,052,580	1,409,681	1,052,580
Amounts due to related companies (Note 27)	13,172	23,688	13,172	23,688
Accrued expenses	33,389	40,056	28,928	40,056
Other payables	255,477	154,486	244,865	154,486
	<u>1,805,027</u>	<u>1,270,810</u>	<u>1,696,646</u>	<u>1,270,810</u>

23 Borrowings

All the borrowings are made up of bank overdrafts. The overdraft facilities are secured by a negative pledge on the company's property.

The weighted average effective interest rate at the year end was:

	2003	2002
– bank overdrafts	7.6%	10.6%

In the opinion of the directors, the carrying amounts of borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the balance sheet date.

The company has the following un-drawn committed borrowing facilities:

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Floating rate				
– expiring within one year	435,844	463,324	416,951	463,324

The facilities are renewable and are subject to review at various dates in the next 12 months.

Subsequent to the year end, part of the group's facilities covering substantially all the borrowings at 30 June 2003, have been converted to a term loan repayable over five years.

24 Contingent liabilities

The group is a defendant in various legal actions. In the opinion of the directors, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant loss.

Notes forming part of the financial statements (continued)

25 Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Property, plant and equipment	25,303	48,848	21,319	48,848

Operating lease commitments

The future minimum lease payments under non-cancellable operating leases are as follows:

	Group		Company	
	2003	2002	2003	2002
	Shs'000	Shs'000	Shs'000	Shs'000
Not later than one year	284,637	171,057	240,429	171,057
Later than one year and not later than five years	1,056,611	658,134	905,440	658,134
Later than five years	346,007	194,397	346,007	194,397
	1,687,255	1,023,588	1,491,876	1,023,588

26 Cash generated from operations

Reconciliation of (loss) / profit before tax to cash generated from operations:

	2003	2002
	Shs'000	Shs'000
(Loss) / profit before tax	(246,032)	80,206
Adjustments for:		
Depreciation (Note 13)	158,001	112,358
Amortisation of prepaid operating rentals (Note 14)	1,430	1,237
Amortisation of intangible assets (Note 18)	23,946	-
Profit on sale of property, plant and equipment	-	(255)
Profit on disposal of leasehold property	(7,349)	-
Interest income (Note 6)	-	(8,542)
Interest expense (Note 6)	40,751	11,545
Changes in working capital		
- receivables and prepayments	(31,174)	(83,674)
- inventories	(410,308)	(146,508)
- payables and accrued expenses	578,888	260,230
Cash generated from operations	108,153	226,597

Notes forming part of the financial statements (continued)

26 Cash generated from operations (continued)

Non-cash transactions

The company utilised its tax recoverable amounts by offsetting Shs 44,671,000 against other taxes payable.

27 Related party transactions

The group is related to various other entities through common shareholdings and/or directorships. The following transactions were carried out with related parties:

i) Sale of goods and services	2003 Shs'000	2002 Shs'000
Industrial and Commercial Development Corporation	333	940
Other related parties	546	580
	<u>879</u>	<u>1,520</u>

ii) Purchase of goods and services

Kenya Wine Agencies Limited	82,786	76,201
Other related parties	524	1,243
	<u>83,310</u>	<u>77,444</u>

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to other customers and obtained from other suppliers.

iii) Outstanding balances arising from sale and purchase of goods/services

	2003 Shs'000	2002 Shs'000
Receivables from other related parties	408	5,671
	<u>408</u>	<u>5,671</u>
Payable to other related parties	13,172	23,688
	<u>13,172</u>	<u>23,688</u>

iv) Directors' remuneration

- fees	360	360
- others	12,965	13,435
	<u>13,325</u>	<u>13,795</u>

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Uchumi Supermarkets Limited
Principal shareholders and share distribution schedule
For year ended 30 June 2002

Principal shareholders

The ten largest shareholders of the company and their respective holdings as at 2 September 2003 were as follows:

No.	Name	Number of shares
1	ICDC Investment Company Limited	14,993,317
2	KWAL Holdings EA Limited	11,250,000
3	Industrial and Commercial Development Corporation	4,669,369
4	Christopher John Kirubi	2,083,674
5	Barclays Kenya Nominees Ltd. Ac 9099	2,003,000
6	Barclays Kenya Nominees Ltd. Ac 9057	1,795,430
7	Old Mutual Life Assurance Company Limited	1,219,999
8	Barclays Kenya Nominees Ltd. Ac 1853	1,012,500
9	Kimani John Kibunga	979,876
10	Stanbic Nominees Kenya Ltd. Ac SCKPF	815,405

Distribution schedule

Category	Number of shareholders	Number of shares
1 - 1,000 shares	3,999	2,258,664
1,001 - 5,000	1,741	3,553,454
5,001 - 10,000	178	1,241,200
10,001 - 100,000	207	6,489,715
100,000 and over shares	35	46,456,931
TOTAL	6,160	59,999,964

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